Harvard University, and my extensive study of the works of scholars, economists and academicians in various fields of investment, money management and behavioural finance. These include great thinkers and scholars like Amos Tversky and Daniel Kahneman, Richard Thaler, Hersh Shefrin, Richard Geist, Robert Shiller, Benjamin Graham, Warren Buffet, Stephen Covey, Robert T. Kiyosaki, Gustave le Bon, Charles D. Ellis, Max Bazzerman, Gary Belsky and Thomas Gilovich to name just a few, some of whom I have had the good fortune to interact with. To this, I have added my unique perspective, viewing the activity on Dalal Street through the behavioural finance lens.

This book brings the knowledge of these great thinkers into an Indian context, and helps me to share with you my experiences with various types of investors, fund managers, corporates, the media, and fellow students. As an optimist, I firmly believe that I am writing this book at the start of one of the biggest bull markets in Indian history. It is January 2005. I am sure my experiences will give you new perspectives and help you be a better investor. Simply learning to see the common psychological and cognitive errors in your investment decisions may be enough. You will take a giant step forward.

My chosen profession of stockbroker has served as an ideal vantage point from which I have been able to observe different behavioural nuances and patterns. I have been in touch with various types of investors, fund managers, speculators, traders, etc. Each one has his own agenda, perspectives, goals and thought processes. No one is perpetually right or wrong. The correctness or otherwise of any decision depends upon the sentiments prevailing at a particular time and unsurprisingly, individual confidence levels will fluctuate according to the degree of accuracy in predictions.

Chapter 1 explains what investing really is. It is a confusing subject and means different things to different people. I am sure you will change your perspective of investing as you go through the chapter. Chapter 2 explains the difference between investment and speculation. It is important to know the difference as many people today acquire speculative habits in the error that they are investing. Chapter 3 helps you understand the different ways of